BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2022

Prepared Testimony of the Staff
Utility Security Panel

Keith Haugen, Utility Supervisor

Thomas McNaughton, Utility
Security Specialist 2

Eric Kerr, Utility Security
Specialist 2

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Q. Members of the Staff Physical and Cybersecurity Panel, referred to as the SPCSP or Panel, please state your names, employer, and business addresses.

A. I am Keith Haugen. I am employed by the Department of Public Service, referred to as Department, Three Empire State Plaza, Albany, New York 12223.

Q. Mr. Haugen, what is your position at the Department?

A. I am a Utility Supervisor, assigned to the Utility Security Section within the Office of Resilience and Emergency Preparedness.

Q. Please provide a summary of your educational and professional experience

A. I graduated with a B.S. in Information Technology from Empire State College in May of 2016. I am also certified as a Certified Information Systems Security Professional (CISSP) and a GIAC Systems and Network Auditor (GSNA). Beyond that, I have attended numerous courses and workshops on cybersecurity. My previous professional work experience consists of five years as a computer programmer for

Newkirk Products, where I started as a junior programmer and eventually a senior programmer and supervisor of my unit, overseeing the work of six to seven programmers of varying skill levels. For two years following Newkirk, I developed workflow applications for Higher Education Systems Corporation as an IT Specialist 2. I joined the Utility Security Section in July of 2008.

Q. Please describe your current duties with the Utility Security Section.

A. My current responsibilities include conducting cyber security vulnerability assessments of critical facilities and corporate IT systems, which are owned and operated by the energy, gas, telecommunications, and water utilities.

Q. Have you previously testified before the Public Service Commission, referred to as Commission?

A. Yes. I testified in Cases 19-G-0309 and 19-G-0310, The Brooklyn Union Gas Company, d/b/a National Grid and NY KeySpan Gas East Corporation, d/b/a National Grid.

A. I am Thomas P. McNaughton. I am employed by the Department and my work address is Three Empire

State Plaza, Albany, New York 12223.

Q. Mr. McNaughton, what is your position at the Department?

A. I am employed as a Utility Security Specialist 2 in the Utility Security Section within the Office of Resilience, Utility security, Nuclear Affairs & Emergency Preparedness.

Q. Please state your educational background and professional experience.

A. Before I joined the Department in 2019, I was employed by the Time Warner Cable/Spectrum Communications, responsible for Physical Security, Internal, External and Compliance related investigations. Prior to that I was employed by the NYS Department of Insurance, The NYS Attorney General's Office Organized Crime Task Force, and The City of Buffalo Police Department. I am certified in numerous Incident Command System Disaster and Preparedness training, Criminal and Investigative Training and Critical Infrastructure Security Training. Collectively, I have over 30 years of law enforcement, investigative, compliance, and security training and experience.

Q. Please describe your present duties in the Utility Security Section.

A. My current responsibilities include performing physical and electronic security vulnerability assessments of critical facilities which are owned and operated by the energy, water and telecommunication utilities regulated by the Commission.

Q. Mr. McNaughton, have you previously testified before the Commission?

A. Yes. I have previously testified before the Commission in several rate proceedings, including, but not limited to, the following: Cases 22-E-0064 and 22-G-0065, Consolidated Edison Company of New York Inc., referred to as Con Edison or the Company, as well as Cases 24-E-0322 and 24-G-0323, Niagara Mohawk Power Corporation, d/b/a National Grid.

Q. Mr. Kerr, what is your position at the Department?

A. I am employed by the Department of Public Service, as a Utility Security Specialist 2 in the Utility Security Section within the Office

of Resilience, Utility Security, Nuclear Affairs and Emergency Preparedness.

Q. Please summarize your education and work experience.

A. Prior to joining the Department in 2024, I was employed by the Office of Developmental Disabilities as an Emergency Manager. My responsibilities included but were not limited to, regional Emergency Management with emergency preparedness and response across New York State. I am Certified in Incident Command System Disaster and Preparedness Training, and I received my Critical Infrastructure Protection Certificate through the Texas A&M University.

Q. Please describe your current duties with the Utility Security Section at the Department.

A. Since joining the Utility Security Section in 2024, my responsibilities have included performing physical security vulnerability assessments of critical facilities which are owned or operated by energy, water and telecommunication utilities regulated by the New York Public Service Commission, referred to as the Commission.

Q. Mr. Kerr, have you previously submitted testimony in proceedings before the Commission

A. I testified in Case 24-G-0447 Corning Natural Gas and Cases 24-E-0461 and 24-G-0462, Central Hudson Gas & Electric Corporation.

Summary of Testimony

Q. What is the purpose of the Panel's testimony in these proceedings?

A. The Panel's testimony will summarize the Company proposals for cybersecurity and physical security programs and projects, discuss our review process, and recommend adjustments related to Company proposed cybersecurity capital expenditures (CAPEX) and Operating & Maintenance (O&M) expenses for the Rate Year.

Q. Please define the Historic Test Year and Rate Year.

A. The Historic Test Year is the 12-month period ending September 30, 2024. The Rate Year, or RY, is the 12-month period ending December 31, 2026.

Q. In your testimony, will the Panel refer to, or otherwise rely upon, any information produced during the discovery phase of this proceeding?

A. Yes, we will refer to, and have relied upon in our testimony, several responses to Staff Interrogatories, referred to as IRs. The IR responses that the Panel relied upon are included in Exhibit__(SUSP-1).

Q. Are you sponsoring any other exhibits?

A. No.

Review Process

Q. Please describe the Panel's approach for assessing the Company's proposed cybersecurity and physical security CAPEX and O&M expenditures.

A. We approached the review of the Company's proposed security projects and associated CAPEX and O&M expenditures with multiple considerations. First, we reviewed the Company's justification for projects and consideration of alternatives to assess whether the Company selected projects that are necessary and most beneficial for securing critical infrastructure and customer data while maintaining customer affordability. Second, this Panel investigated whether the proposed projects were appropriate for providing secure

and reliable service at just and reasonable rates. Third, we considered whether the cost estimates are reasonable and based on historical costs, and, if not, whether the Company provided adequate justification with reasonable assumptions for deviating from historical costs. In addition, where the Company used historic project costs to forecast future CAPEX spending, we analyzed those historic unit costs. Finally, we reviewed the Company's past proposals in prior rate cases and the Company's historic performance in achieving those proposed project schedules at the originally forecasted costs.

Cybersecurity Adjustment Summary

Q. Does the Panel recommend adjustments to any of Con Edison's proposed cyber security programs?

A. Yes. The Panel recommends CAPEX and O&M adjustments to the proposed Cybersecurity, Cyber Security Infrastructure (Cyber for High Value Networks (HVN)), and Cyber Security and NERC Compliance programs. We also recommend CAPEX adjustments to the North American Electric Reliability Corporation (NERC) Cyber and Physical Security Critical Infrastructure

Upgrade program.

Q. What adjustments do you recommend for the specific cybersecurity investments proposed by the Company for the Rate Year?

A. The adjustments fall into the following categories: (1) CAPEX adjustments; (2) Non-labor O&M budget adjustments; (3) labor-related O&M budget adjustments; and (4) adjustments to full-time equivalent, or FTE, positions proposed for specific cybersecurity programs.

Q. Have the Panel's recommendations taken inflation into account?

A. Yes. The recommended Rate Year budgets account for inflation at the rate specified by Staff witness Gadomski in his direct testimony.

Q. Are your CAPEX, O&M, and FTE adjustments reflected in the Staff Rates and Accounting Panel's recommended revenue requirement?

A. Yes.

Cybersecurity

Q. Please describe the objectives of the Company's Cybersecurity program proposed in these proceedings.

A. The Company's proposed program would implement

projects at the corporate level to protect computing systems and networks. These programs use a risk-based approach and aim to reduce the risk in areas that continue to see an increase in both scale and velocity of attacks. Key aspects of the project include Cloud security enhancements, an advanced defense initiative, and continuous identification and isolation of applications requiring the highest levels of security and protection.

Q. What funding does the Company request for its proposed CAPEX and O&M expenditures for its Cybersecurity program?

A. According to Exhibit___(CPSP-4), Con Edison requests CAPEX budgets of approximately $16.81 million for the Rate Year, $16.92 million for RY 2, and $17.50 million for RY 3, for a three-year total of $51.50 million for requested CAPEX. For O&M, the Company requests budgets of $38.37 million for RY1, $45.47 million for RY2, and $48.45 million for RY3, totaling $132.30 million.

Q. Is the Company requesting additional FTEs to

support its Cybersecurity program?

A. Yes. Con Edison requests 46 additional FTEs to support the projects for the Cybersecurity program, including at the Vice President and Director levels, which the Company claims will provide enhanced senior level oversight and expertise.

Q. What is the Panel's overall assessment of the request for the Cybersecurity program described in the Company's filing?

A. The dollar amounts stated above for Rate Year 1 through Rate Year 3 are in-line with the $52.35 million CAPEX that Con Edison requested for 2023 through 2025 in Cases 22-E-0064 and 22-G-0065 on page 7 of Exhibit___(IT-7). However, the Company's forecasted O&M is significantly higher than the previous three rate years' total of $76 million. Additionally, the Company's requested increase to FTEs is substantially higher than the two FTEs per rate year (six total) the Company initially requested in the previous rate case.

Q. Did the Company provide adequate support for its requested capital budget, or the additional O&M

costs and FTEs?

A. No. In neither the Cyber and Physical Panel testimony, nor Exhibit__(CSPS-3) or Exhibit__(CSPS-4), did Con Edison adequately substantiate the need for a significant increase to its capital budget, O&M, or FTEs. The Company did not provide vendor quotes, third party risk assessments, or demonstrate established forms of budget forecast analysis to justify its estimates.

Q. What did the Company base its cost projections on?

A. As stated on page 55 of Exhibit__(CPSP-4), Con Edison relied on "Historic purchases ... vendor presentations and Internet sources."

Q. Why are these sources inadequate?

A. It is the Panel's position that sources such as vendor quotes, risk assessments, or other forms of budget analysis are necessary for accurate cost estimates. Furthermore, in response to DPS-1030, Attachment 1, the Company projects proposed in this program are ongoing from the previous rate case. Therefore, without any further detail of changes, costs should be in

line with historic spending.

Q. What does the Panel recommend?

A. Due to the lack of justification for the additional capital above historic levels the Company requested for O&M and FTEs, the Panel recommends budgets based on the historical three-year average from 2023 through 2025 of actual capital and O&M spending as provided in response to DPS-309, Attachment 1.

Q. What does the Panel recommend specifically regarding the capital expenditures for the Cybersecurity program?

A. We recommend capital expenditures of $13.16 million for the Cybersecurity program in the Rate Year, which is a decrease of $3.69 million from the $16.8 million requested by Con Edison.

Q. What is the Panel’s recommended level of IT Cybersecurity program O&M for the Rate Year?

A. For O&M, the Panel recommends $20.5 million for Rate Year 1, which is a decrease of $17.8 million.

Q. Does the Panel recommend any adjustments to the FTEs requested by the Company?

A. Yes. The Panel recommends rejecting a number of

the proposed FTEs without negatively impacting enterprise-wide security standards.

Q. What is the Panel's recommended staffing levels for the Cybersecurity program?

A. Staff recommends the following staffing reductions to the Company's Cybersecurity program FTE requests for the Rate Year: three (3) Directors, one (1) Vice President, and 12 Senior System Cyber Analysts.

Q. What is your basis for these FTE reductions?

A. The Company did not substantiate the need for additional upper management and staff when the Company has managed its cybersecurity programs ~~in previous years~~ through the last rate plan specifically with no stated issues.

Cyber Security Infrastructure (Cyber for High Value Networks (HVN))

Q. What is the Cyber Security Infrastructure (HVN) program?

A. This program aims to address the cybersecurity of the Company's HVNs, ensuring that the Company maintains the most sensitive aspects of the operations protected. As stated on pages 29-30

of the Cyber and Physical Panel testimony, key projects within this program include: "Expanding Password Management programs, such as Privileged Access Management (PAM); expanding application controls in the HVN to protect systems and data by allowing only approved, trusted applications to run while blocking all other potentially harmful software; enhancing HVN Endpoint Detection and Response (EDR) to improve the Company's ability to protect end-user devices and increase the Company's ability to detect and respond to malicious activity; and enhancing asset and vulnerability management to aggregate asset information and associated vulnerability details to allow for better prioritization and faster response within their HVNs."

Q. What funding does the Company request for its proposed CAPEX and O&M expenditures?

A. According to Exhibit___(CPSP-4), Con Edison requests CAPEX budgets of approximately $5.79 million for the Rate Year, $6.91 million for RY2, and $6.92 million for RY3, for a three-year total request of $19.63 million of CAPEX. For O&M, the Company requests budgets of $3.42

million for RY1, $5.91 million for RY2, and $6.50 million for RY3, totaling $15.83 million.

Q. Is the Company requesting additional FTEs to support its Cyber Security Infrastructure (HVN) program?

A. Con Edison requests 20 FTEs to staff a dedicated HVN team to help improve the HVN's Cybersecurity posture, including Cyber operations, vulnerability management within the HVN, and improved identity and access management. Q. What is the Panel's overall assessment of the request for the Cybersecurity Infrastructure (HVN) described in the Company's filing?

A. The dollar amounts stated above for Rate Year 1 through Rate Year 3 are in excess of the $8.65 million CAPEX that Con Edison requested for 2023 through 2025 in Cases 22-E-0064 and 22-G-0065 on page 7 of Exhibit___(IT-7). The Company's forecasted O&M is also significantly higher than the previous three rate years' total of $ 7.1 million. Additionally, the Company had not requested additional FTEs for the Cybersecurity Infrastructure (HVN) program in the previous rate case.

Q. What did the Company base its cost projections on?

A. As stated on page 47 of Exhibit__(CPSP-4), Con Edison relied on "Historic purchases ... vendor presentations and Internet sources."

Q. Why are these sources inadequate? A. As we previously stated, sources such as vendor quotes, risk assessments, or other forms of budget analysis are necessary for accurate cost estimates. The projects proposed in this program are also ongoing and, therefore, without further details from the Company indicating any changes in these programs, costs should be in line with historic spending.

Q. What does the Panel recommend?

A. Due to this lack of justification for the level of incremental capital and O&M requested, the Panel recommends budgets consistent with the historical three-year average from 2023 through 2025 of actual capital and O&M spending as provided in response to DPS-310, Attachment 1.

Q. What does the Panel recommend regarding the capital expenditures for the Cyber Security

Infrastructure (HVN) Program?

A. We recommend capital expenditures of $3.36 million for the Cyber Security Infrastructure (HVN) program in the Rate Year, which is a decrease of $2.43 million of the $5.79 million proposed by Con Edison.

Q. What is the Panel's recommended level of Cybersecurity (HVN) O&M for the Rate Year?

A. For O&M, the Panel recommends $0.88 million for Rate Year 1, which is a decrease of $2.54 million.

Q. Does the Panel recommend adjustments to the FTEs requested by the Company?

A. Yes, we recommend rejecting a number of the requested FTEs, as the Company failed to quantify what Cyber Security Infrastructure (HVN) related improvements would be realized or to clearly establish duties and responsibilities for these positions that differ from existing duties and responsibilities of current employees.

Q. What FTE positions do you recommend the Commission reject?

A. We recommend the Cyber Security Infrastructure

(HVN) programs' FTE request be reduced by one Director and 13 Senior System Analysts.

Q. What is your basis for these FTE reductions?

A. The Company did not substantiate the need for additional upper management and staff when the Company has managed its Cyber Security Infrastructure (HVN) through the last rate plan specifically with no stated issues.

Cyber Security and NERC Compliance

Q. Please describe System and Transmission Operations (S&TO); Cyber Security and NERC Compliance program.

A. This program improves the cybersecurity of the Energy Control Center (ECC) and energy management systems to prevent intrusions, and to further comply with NERC CIP standards.

Q. What CAPEX and O&M funding is the Company requesting for this program?

A. According to Exhibit___(CPSP-4), Con Edison requests CAPEX budgets of approximately $7.2 million for RY1, $6.2 million for RY2, and $5.7 million for RY3, for a three-year total CAPEX of

$19.1 million. For O&M, the Company requests budgets of $0.89 million for RY1, $1.03 million for RY2, and $1.03 million for RY3, totaling $2.9 million.

Q. Is the Company requesting additional FTEs to support its Cyber Security and NERC Compliance program?

A. The Company requests ten FTEs with six to staff the dedicated Cybersecurity Operations Center focused on the security of the ECC network. Two FTEs are for the Threat Management group and expanding existing technologies, such as the Security Incident Event Management (SIEM) system, Multi Factor Authentication, and Anti-Virus. The Company will also be working on its planned User Endpoint Behavior Analytics solution. Two FTEs are for Network Security to help implement the network port security solution, and firewall configuration management tool.

Q. What is the Panel’s overall assessment of the request for the Cyber Security and NERC Compliance program described in the Company’s filing?

A. The Panel acknowledges that the cybersecurity risks, threat actors/vectors, and technologies involved are constantly changing and increasing in complexity, necessitating the implementation of projects that comprise the ST&O's Cyber Security and NERC Compliance program, as well as the mandated requirements for maintaining NERC CIP compliance. However, the Company did not provide specifics or demonstrate analysis for determining the Company's forecast of cost.

Q. How did the capital and O&M spending levels lack justification?

A. Con Edison did not provide vendor quotes, third party risk assessments, or other budget forecast analysis to justify its estimate.

Q. What did the Company base its cost projections on?

A. As stated on page 69 of Exhibit__(CPSP-4), Con Edison's basis for its estimate was "Historic purchases ... vendor presentations and Internet sources."

Q. Why are these sources inadequate?

A. As we previously stated, sources such as vendor quotes, risk assessments, or other forms of

budget analysis are necessary for accurate cost estimates. The projects proposed in this program are also ongoing and, therefore, without further details from the Company indicating any changes in these programs, costs should be in line with historic spending.

Q. What does the Panel recommend?

A. The Panel recommends a budget consistent with the historical three-year average from 2023 through 2025 of actual capital spending as provided in response to DPS-313, Attachment 1.

Q. What does the Panel recommend regarding the capital expenditures for the Cybersecurity and NERC Compliance program?

A. We recommend capital expenditures of $4.34 million for the Cyber Security and NERC Compliance program in the Rate Year, which is a decrease of $2.85 million of the $7.20 million proposed by Con Edison.

Q. What is the Panel’s recommended level of O&M for the Rate Year?

A. For O&M, the Panel recommends $.67 million for Rate Year 1, which is a decrease of $0.22 million.

NERC Cyber and Physical Security Critical Infrastructure Upgrade

Q. Please describe Substation Operations (SSO); NERC Cyber and Physical Security Critical Infrastructure Upgrade program.

A. Due to vendor changes to its telecommunications infrastructure, Con Edison will be forced to convert from serial to Internet Protocol (IP) based communications. As explained on page 58 of Exhibit___(CPSP-4), this conversion to externally routable protocols will result in substation cyber assets that will be required to comply with additional 40 additional NERC CIP requirements.

Q. What capital expenditures and operations and maintenance funding did the Company request for this program?

A. According to Exhibit___(CPSP-4), Con Edison requests CAPEX budgets of approximately $15 million for the RY1, $15 million for RY2, and $15 million for RY3, for a three-year total CAPEX request of $45 million. The Company did not request incremental operations and maintenance funding or additional FTEs.

Q. What is the Panel's overall assessment of the request for the Substation Critical Infrastructure Protection (CIP) program described in the Company's filing?

A. The Panel acknowledges that due to the discussed changes to communications infrastructure, both the cybersecurity risks to SSO infrastructure and resulting escalation of NERC CIP compliance standards will necessitate the changes proposed by the Company. However, the Company has not provided sufficient justification for capital expenditures above previous historic performance spending levels. As stated on page 58 of Exhibit__(CSPS-4), the Company's plan is to first initiate a pilot phase and convert two substations as pilot stations. Then once the pilot phase is completed, Con Edison will commence with converting "another 30 substations under NERC CIP compliance in future rate years". Furthermore, per the Company response to DPS-312, Con Edison has historically been underbudget by 25% the previous three rate years.

Q. What is the basis for the Panel's capital

adjustments?

A. The Panel recommends a budget consistent with the historical three-year average from 2023 through 2025 of actual capital spending as provided in response to DPS-312, Attachment 1.

Q. What does the Panel recommend regarding the capital expenditures for the Substation Critical Infrastructure Protection (CIP) program?

A. We recommend the Commission determine capital expenditures of $0.43 million for the Cybersecurity Program in the Rate Year, which is a decrease of $14.57 million of the $15.00 million proposed by Con Edison.

Physical Security

Q. What is the Company's overall approach to physical security?

A. In the Cyber and Physical Security Panel Testimony, page 39, the Company states 'Corporate Security implements projects and programs designed to address and mitigate Con Edison's evolving threat landscape including physical security risks, while meeting the needs of the Company's operating departments. Corporate Security uses a "defense-in-depth"

strategy to deter, deny, detect, and delay potential threats.'

Q. Please list the Company's proposals related to Physical Security.

A. For Physical Security the Company proposes eight programs throughout its filings in these proceedings. The eight programs are: Corporate Security Technology and Equipment Enhancement Program; Protective Intelligence & Countermeasures Program; Facility Security Upgrades Program; Corporate Security – Company Wide Camera Rollout Program; Energy Control Center (ECC & Alternate Energy Control Center, (AECC)) Security Enhancements Program; Corporate Security – Perimeter Enhancement Program; Substations Security Enhancements Program; and the Energy Control Center Relocation Project. Within these programs there are multiple subprojects.

Q. Panel, please discuss the CAPEX programs, what they are, and the total aggregated cost for these programs for the rate year.

A. Each of the eight programs have CAPEX costs associated with them. The total aggregated cost

for Rate Year 1 is $30,517,000, Rate Year 2 is $28,336,000 and Rate Year 3 is $32,158,000 with a total of $86,301,000.

Q. Panel, turning to the O&M programs, please explain what they are, and the total aggregated cost for these programs for the rate year.

A. The programs for which Con Edison seeks funding for O&M costs are: Corporate Security Technology and Equipment Enhancement Program; Protective Intelligence & Countermeasures Program; and the Energy Control Center's (ECC & AECC) Security Enhancements Program. The total aggregated cost for Rate Year 1 is $4,990,000, Rate Year 2 $7,015,000, and Rate Year 3 is $9,808,000 with a total of $21,813,000. A total of 16 FTEs is included in support of these projects.

Q. Does the Panel recommend adjustments to any of Con Edison's proposed physical security programs?

A. Yes. The Panel recommends CAPEX and O&M adjustments to the Protective Intelligence & Counter Measures Program, the Energy Control Center's (ECC & AECC) Security Enhancements program, the Facility Security Upgrades Program

and the Energy Control Center Relocation project.

Protective Intelligence & Countermeasures Program

Q. Please describe the Protective Intelligence & Countermeasures Program.

A. As discussed in Exhibit___(CPSP-4UpD), pp. 10 - 17, the Company proposes a Protective Intelligence & Countermeasures Program, which is a newly created program that is comprised of three components. These components are (1) Random Antiterrorism Measures Project, (2) Threat Intelligence Platform, and (3) The Facility Security Enhancement Project. According to Exhibit___(CPSP-4UpD), the Company requests CAPEX budgets of approximately $5.5 million for RY1, $4.8 million for RY2, and $9.2 million for RY3, for a three-year total CAPEX request of $19.5 million. For O&M, the Company requests budgets of $3.9 million for RY1, $5.7 million for RY2, and $8.4 million for RY3, totaling $18 million.

Q. Does the Panel recommend any adjustment to the Company's Protective Intelligence and Countermeasures Program?

A. Yes, in response to DPS-324, DPS-425, DPS-866,

DPS-936, we disagree with the level of spending proposed by the Company for the Protective Intelligence and Countermeasures Program. Staff does not agree with the proposed expenditures for the Sensitive Compartmentalized Information Facility and the bullet proof/anti intrusion rating of windows at 4 Irving Place. The company did not provide any information that the windows to be upgraded were to protect critical assets and no data was provided of any incident where windows were broken due to gunfire or intrusion. Staff also disagrees with two of the three proposed vehicles due to the reduction of 2 FTEs in this program. These components of this program do not align with industry requirements. Staff recommends CAPEX expenditures of $3.497 million in the Rate Year, which is a decrease of $2.02 million of the $5.5 million proposed by the Company.

Q. Is the Company requesting additional FTEs to support its Protective Intelligence and Countermeasures Program?

A. Yes, Con Edison requests 13 FTEs to support corporate security.

Q. Does the Panel have adjustments to the FTEs requested by the Company?

A. Yes. We recommend that the Commission reject six of the 13 proposed FTEs in this project, because the Company did not provide adequate justification to substantiate the need for the additional FTEs. Thus, we recommend a $961,460 reduction for the rate year.

Facility Security Upgrades

Q. Please describe the Facility Security Upgrades Program.

A. In the Company's Cyber & Physical Security Panel Exhibit___(CPSP-4), pp. 23-26, Facilities Security Upgrades are proposed for Astoria and East 16th Street.

Q. Does the Panel recommend any adjustment to the Company's proposal for the Facilities Security Upgrades?

A. Yes, after review of the Company's response to DPS-1027, staff recommends an elimination of this program and four subprojects. The Company did not provide sufficient security justification and cost estimates for the projects within the Facility Security Upgrade

Program.

Q. What is the panel's rationale for the assessment that the company did not provide sufficient justification?

A. In response to DPS-1027 the company provided project descriptions, including components of each subproject and applicable fence lengths. However, the Company did not provide any known cost industry standard cost or third-party vendor estimates. Further, the CCompany did not provide the cost estimate per subproject or any further breakdown of project costs. Without any of these further details or references to costs, we are not able assess the accuracy or reasonability of the program.

Energy Control Center & Alternate Energy Control Center (ECC & AECC) Security Enhancements

Q. Please describe the Energy Control Center Security Enhancements Project.

A. This project is explained in Exhibit___(CPSP-4), pp. 31-37, Energy Control Center's (ECC & AECC) Security Enhancements. A total of eight components are proposed. The components are: 1) Emergency Evacuation System Project; 2) Chemical

and Biological HVAC Detection System Project; 3) Phase III of the Drone Detection Project; 4) Physical Security Point Project; 5) Card Access Control System Project; 6) Security-Related Hardware and Software Project; 7) Physical Access Control System Upgrade; 8) ECC Uninterrupted Power Supply (UPS) Units Battery Replacement.

Q. Does the Panel recommend any adjustment to the Company's proposal for Energy Control Center's (ECC & AECC) Security Enhancements?

A. Yes, in response to DPS-322, DPS-323, DPS-652, DPS-656, DPS-692, DPS-694, staff recommends the reductions based upon the company not providing adequate justification to substantiate the need for the additional funds for the following subprojects: Chemical and Biological HVAC Detection System Project; Phase III of the Drone Detection Project; Physical Security Point Project; and the Physical Access Control System Upgrade.

Q. What is the Panel's rationale for your assessment that the Company did not provide sufficient justification?

A. The Chemical and Biological HVAC Detection System Project and the Phase III of the Drone Detection Project do not align with industry requirements. The Company also did not provide adequate information to substantiate the necessity of each. The Physical Security Point Project and the Physical Access Control System Upgrade are not supported, based on the Panel's review of the Company's physical security assessments of the ECC & AECC locations. The Company did not note any assessed deficiencies in any components within either subproject. As such, we recommend CAPEX expenditures of $3.02 million for the Energy Control Center's Security Enhancements Project in the Rate Year, which is a decrease of $2.86 million from the $5.89 million proposed by the Company.

Q. Is the Company requesting additional FTEs to support its Energy Control Center's (ECC & AECC) Security Enhancements?

A. This program is requesting two FTEs to support the Energy Control Center.

Q. Does Staff have adjustments to the FTEs requested by the Company?

A. Yes. Staff recommends rejecting both proposed FTEs. The Company not providing adequate justification to substantiate the need for the additional FTEs.

Energy Control Center Relocation

Q. Please describe the Energy Control Center Relocation Project.

A. In the Company's Cyber & Physical Security Panel Exhibit___(CPSP-4), pp. 38-43, Energy Control Center's Relocation Project the Company proposes to relocate the existing Energy Control Center from its current location in Manhattan.

Q. Describe any physical security concerns that support the relocation.

A. After reviewing the Company's Security Assessments which were provided in response to DPS-323, there is no evidence to support the current physical location of the ECC as a vulnerability.

Q. Does this conclude the Panel's testimony?

A. Yes, at this time.